Disclosure Regulation, Stock Liquidity, and International Policy Diffusion

Online Appendix

31 October 2026

This appendix reports country conditions, comparison horizons, alternative liquidity measures, confidential tax reporting, family contributions and the comparison including coordinated implementations. A restricted five-model benchmark provides an additional comparison. Every declared model, including unestimated and unstable cases, is available in the accompanying coefficient registry.

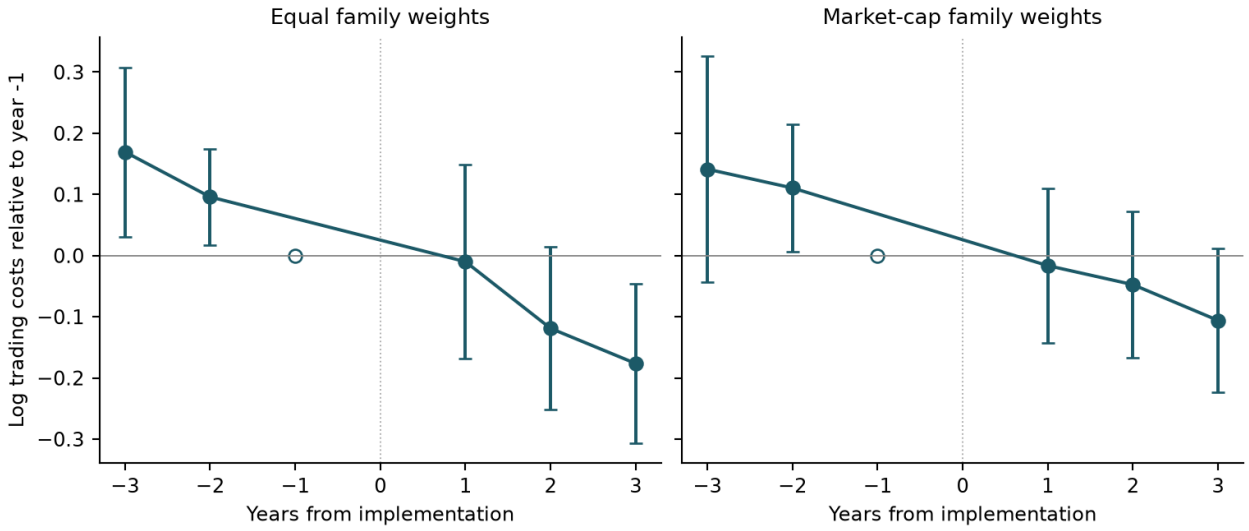


Figure A1: Liquidity around implementation

The figure reports event-time coefficients for log trading costs under each family weighting scheme. Year minus one is the omitted reference; the implementation year is excluded. Intervals use country-cluster inference. The panels use the primary three-year comparison and do not establish parallel trends or separate concurrent reforms.

Table A1: Liquidity estimates with country conditions

	(1)	(2)	(3)	(4)
Family weights	Equal	Market cap	Equal	Market cap
Aggregation	Stacked	Stacked	Average	Average
Trading costs	−0.133**	−0.092	−0.118*	−0.076
	(0.063)	(0.078)	(0.069)	(0.083)
Price impact	−0.103	−0.054	−0.070	−0.026
	(0.074)	(0.092)	(0.075)	(0.080)
Zero-return days	0.001	0.005	0.004	0.008
	(0.006)	(0.007)	(0.005)	(0.006)
Illiquidity index	−0.048	−0.018	−0.030	−0.003
	(0.035)	(0.042)	(0.028)	(0.034)
Countries	46	46	46	46
Families	5	5	5	5
Country conditions	X	X	X	X

This table reports country-level rollout estimates. Outcomes are log trading costs, log price impact, zero-return days and the standardized illiquidity index; higher values indicate less liquidity. Each cohort uses fixed companies in three pre-implementation years and years one to three after the documented milestone, excluding the implementation year. Country weights use GDP in the preceding year. Family weights are equal or proportional to the baseline sample market value of adopting-country companies. A stacked objective and an explicit average of family coefficients are distinct pooling targets. Standard errors in parentheses cluster by country and preserve dependence across policy stacks. *, ** and *** denote unadjusted significance at 10%,5% and 1%. These are country-policy comparisons, not verified effects on every legally covered issuer. This comparison uses 3 years on each side. Country conditions, where included, are lagged log GDP per capita, GDP growth and trade/GDP. Different horizons or control availability can change sample membership. Price impact is log Amihud; zero-return days are a fraction. The index averages three standardized illiquidity measures. Negative coefficients indicate greater liquidity.

Table A2: Two-year comparison windows

	(1)	(2)	(3)	(4)
Family weights	Equal	Market cap	Equal	Market cap
Aggregation	Stacked	Stacked	Average	Average
Trading costs	−0.046	0.012	−0.032	0.005
	(0.078)	(0.111)	(0.083)	(0.092)
Price impact	0.018	0.121	0.057	0.132
	(0.124)	(0.163)	(0.141)	(0.119)
Zero-return days	−0.001	0.007	−0.003	0.009
	(0.006)	(0.008)	(0.006)	(0.007)
Illiquidity index	−0.015	0.038	−0.011	0.044
	(0.048)	(0.069)	(0.053)	(0.051)
Countries	49	49	49	49
Families	6	6	6	6
Country conditions				

This table reports country-level rollout estimates. Outcomes are log trading costs, log price impact, zero-return days and the standardized illiquidity index; higher values indicate less liquidity. Each cohort uses fixed companies in two pre-implementation years and years one to two after the documented milestone, excluding the implementation year. Country weights use GDP in the preceding year. Family weights are equal or proportional to the baseline sample market value of adopting-country companies. A stacked objective and an explicit average of family coefficients are distinct pooling targets. Standard errors in parentheses cluster by country and preserve dependence across policy stacks. *, ** and *** denote unadjusted significance at 10%,5% and 1%. These are country-policy comparisons, not verified effects on every legally covered issuer. This comparison uses 2 years on each side. Country conditions, where included, are lagged log GDP per capita, GDP growth and trade/GDP. Different horizons or control availability can change sample membership. Price impact is log Amihud; zero-return days are a fraction. The index averages three standardized illiquidity measures. Negative coefficients indicate greater liquidity.

Table A3: Two-year windows with country conditions

	(1)	(2)	(3)	(4)
Family weights	Equal	Market cap	Equal	Market cap
Aggregation	Stacked	Stacked	Average	Average
Trading costs	−0.017	0.020	−0.039	−0.032
	(0.071)	(0.092)	(0.069)	(0.068)
Price impact	0.037	0.139	−0.005	0.062
	(0.125)	(0.162)	(0.120)	(0.081)
Zero-return days	−0.000	0.007	−0.003	0.008
	(0.007)	(0.008)	(0.007)	(0.007)
Illiquidity index	−0.002	0.042	−0.022	0.020
	(0.047)	(0.061)	(0.046)	(0.037)
Countries	48	48	48	48
Families	6	6	6	6
Country conditions	X	X	X	X

This table reports country-level rollout estimates. Outcomes are log trading costs, log price impact, zero-return days and the standardized illiquidity index; higher values indicate less liquidity. Each cohort uses fixed companies in two pre-implementation years and years one to two after the documented milestone, excluding the implementation year. Country weights use GDP in the preceding year. Family weights are equal or proportional to the baseline sample market value of adopting-country companies. A stacked objective and an explicit average of family coefficients are distinct pooling targets. Standard errors in parentheses cluster by country and preserve dependence across policy stacks. *, ** and *** denote unadjusted significance at 10%,5% and 1%. These are country-policy comparisons, not verified effects on every legally covered issuer. This comparison uses 2 years on each side. Country conditions, where included, are lagged log GDP per capita, GDP growth and trade/GDP. Different horizons or control availability can change sample membership. Price impact is log Amihud; zero-return days are a fraction. The index averages three standardized illiquidity measures. Negative coefficients indicate greater liquidity.

Table A4: Alternative measures of market liquidity

	(1)	(2)	(3)	(4)
Family weights	Equal	Market cap	Equal	Market cap
Aggregation	Stacked	Stacked	Average	Average
Trading costs	−0.190**	−0.141	−0.177**	−0.134
	(0.071)	(0.084)	(0.073)	(0.085)
Price impact	−0.114	−0.068	−0.077	−0.034
	(0.081)	(0.097)	(0.074)	(0.082)
Zero-return days	−0.002	0.004	0.001	0.006
	(0.006)	(0.007)	(0.005)	(0.006)
Illiquidity index	−0.073*	−0.038	−0.056*	−0.025
	(0.037)	(0.043)	(0.029)	(0.034)
Countries	47	47	47	47
Families	5	5	5	5
Country conditions				

This table reports country-level rollout estimates. Outcomes are log trading costs, log price impact, zero-return days and the standardized illiquidity index; higher values indicate less liquidity. Each cohort uses fixed companies in three pre-implementation years and years one to three after the documented milestone, excluding the implementation year. Country weights use GDP in the preceding year. Family weights are equal or proportional to the baseline sample market value of adopting-country companies. A stacked objective and an explicit average of family coefficients are distinct pooling targets. Standard errors in parentheses cluster by country and preserve dependence across policy stacks. *, ** and *** denote unadjusted significance at 10%,5% and 1%. These are country-policy comparisons, not verified effects on every legally covered issuer. This comparison uses 3 years on each side. Country conditions, where included, are lagged log GDP per capita, GDP growth and trade/GDP. Different horizons or control availability can change sample membership. Price impact is log Amihud; zero-return days are a fraction. The index averages three standardized illiquidity measures. Negative coefficients indicate greater liquidity.

Table A5: Confidential tax reporting and liquidity

	3-year	3-year + X	2-year	2-year + X
Trading costs	0.142	0.100	0.062	0.089
	(0.169)	(0.146)	(0.121)	(0.139)
Price impact	0.064	−0.085	−0.016	0.016
	(0.166)	(0.218)	(0.156)	(0.170)
Zero-return days	−0.013	−0.016	0.013	0.015
	(0.017)	(0.018)	(0.018)	(0.019)
Illiquidity index	0.012	−0.029	0.054	0.069
	(0.113)	(0.114)	(0.091)	(0.104)

This table reports confidential country-by-country tax reporting separately from disclosures available to investors. The same country-cohort construction and GDP weights apply; X adds the country conditions defined in Table A1. Tax-authority reporting is not classified as public banking country reporting or public multinational country reporting. A requirement to transmit a return does not establish public access. Country-cluster standard errors appear in parentheses.

Table A6: Learning comparison including coordinated implementations

	(1)	(2)	(3)	(4)
Estimator	Logit	Logit	Within	Within
Family weights	Equal	Market cap	Equal	Market cap
Foreign-policy exposure	−0.477	−0.516	0.016	0.017
	(0.497)	(0.382)	(0.035)	(0.038)
Successful foreign adopters	−0.461	−0.765	−0.000	−0.001
	(0.470)	(0.495)	(0.013)	(0.031)
Exposure x successful adopters	−0.109	0.128	−0.005	−0.004
	(0.178)	(0.150)	(0.013)	(0.015)
Country–family–years	972	972	1955	1955
Countries	48	48	48	48
Implementations	136	136	137	137
Families	7	7	8	8

This table reports associations with documented implementation timing. Foreign-policy exposure is the lagged portfolio-weighted share of countries with the requirement. Successful foreign adopters are the share of observed earlier adopters with falling same-company log trading costs, measured before the focal implementation year; these are observed outcomes, not estimated effects caused by the foreign rule. Both primitives and their product enter together with lagged income, GDP growth and trade. Continuous primitives are standardized before the interaction. Logit includes family and year effects; Within denotes a linear probability model with country–family and family–year effects. Logit coefficients are log odds; within coefficients are probability changes. Country-cluster standard errors appear in parentheses. The samples differ because logit removes fixed-effect groups without outcome variation. Nominal stars use the conventions in Table 2; the full 160-model,256-focal-test adjustment is retained in the results files. Decision dates are not available for all cases, so these models do not establish learning at the political decision date.

Table A7: Channel associations including coordinated implementations

Channel	Equal	Market cap	Countries	Events
Growth among earlier adopters	−0.586	−0.388	59	167
	(0.596)	(0.510)		
Larger geographic peer	−0.236	−0.589	39	123
	(0.582)	(0.755)		
Larger peer: recent implementation	0.794	0.382	39	123
	(0.836)	(1.240)		
Larger peer: older implementation	−0.804	−1.394**	39	123
	(0.612)	(0.546)		
Language-peer implementation	–	–	34	80
Trade-competitor implementation	−1.035***	−1.342***	40	107
	(0.202)	(0.163)		
External financial dependence	–	–	21	22

This table reports separate channel models with lagged income, GDP growth and trade. Weights give equal family mass or baseline market-cap family mass. Continuous variables are standardized; binary indicators retain their original scale. Standard errors cluster by country. Growth learning compares prior-year growth among earlier and later adopters within a fixed geographic network restricted to documented histories. The larger peer is fixed using GDP in 2000. Competitors are selected by export-pattern similarity in 2000. External finance is IMF credit plus aid relative to GDP. A dash denotes an unestimated model, including insufficient sample support, not an estimated zero. Separate models can use different samples. These proxies measure associations with proposed channels and do not establish policymakers' motives.

Table A8: Restricted liquidity benchmarks

Pooling target	Estimate	p-value
Stacked: equal family mass	-0.223	< 0.001
	(0.048)	
Stacked: market-cap family mass	-0.206	< 0.001
	(0.058)	
Explicit equal-family average	-0.199	0.001
	(0.058)	
Explicit market-cap family average	-0.199	0.004
	(0.066)	
GLS common effect	-0.238	< 0.001
	(0.025)	

This table reports five pooling estimates for a restricted set of 30 country–family implementations,46 countries and 1,002 country–stack–years. Its auditor and climate contrasts both identify the UK 2013 cohort and the same 433 treated company records. The directly stacked and explicit-average coefficients are different targets. GLS uses estimated covariance weights, not market-cap weights, and concentrates on the concurrent UK contrasts.

Table A9: Family objective masses and coefficient contributions

Family	Equal mass	Cap mass	Equal effect	Cap effect
Expanded auditor reports	20.0%	29.2%	18.7%	28.7%
Public bank country reports	20.0%	17.9%	19.0%	17.8%
Climate disclosure	20.0%	5.4%	25.1%	7.2%
Environmental, social and governance reports	20.0%	23.9%	12.4%	15.5%
Supply-chain disclosure	20.0%	23.6%	24.8%	30.8%

This table reports the family objective masses and effective coefficient weights for the primary uncontrolled stacked model. Equal mass gives each family 20%. Cap mass uses the baseline sample market value represented by adopting-country companies. Effective weights also reflect residual treatment variation and sum to 100% within each model. They are not GLS covariance weights or the share of all global issuer market value. The explicit family-average estimators use the objective masses directly.